APEX ENTERPRISE SYSTEMS INC.

ANNUAL STRATEGY & FISCAL CLOSE — FOURTH QUARTER (Q4 FY2024)

Report Date: January 16, 2025
Prepared by: Office of the Chief Executive Officer (CEO)
Distribution: All Employees, Shareholders & Stakeholders

1. FISCAL YEAR 2024 PERFORMANCE RECAP

Apex Enterprise Systems concluded FY2024 with resilient performance. Full-year gross revenues established new corporate benchmarks, successfully weathering mid-year margin compression in Q2 and regional public-sector budget delays in Q3.

Key Financial Highlights:
- Annual top-line revenues exceeded initial board projections by 8.4%.
- Fourth quarter gross margin rebounded to 46.1%, driven by disciplined pricing governance and the recovery of enterprise software volumes.
- Total AI Developer Tools annual sales expanded over 85% year-over-year, establishing NeuralKit Enterprise as our fastest-growing commercial product line.
- International expansion contributed 18% of aggregate billings, up from 11% in FY2023.

2. PORTFOLIO EXPANSION & PRODUCT MIX

- Cloud Infrastructure remains our primary cash flow engine, anchoring 42% of recurring annual contracts.
- Cyber Security profit margins stabilized following supplier contract renegotiations completed in late Q3.
- Business Analytics maintained a net revenue retention (NRR) rate of 118%, proving high customer satisfaction with DataSphere Insight.

3. STRATEGIC PRIORITIES FOR FISCAL 2025

1. Deepen enterprise integrations of generative AI copilots into customer data warehouses.

2. Expand presence across European Union compliance and Sovereign Cloud frameworks.

3. Maintain disciplined margin controls, requiring automated approval workflows for any non-standard pricing.